

# FULL YEAR RESULTS 2023

ANALYST & MEDIA  
CONFERENCE CALL

Zurich, 12 March 2024



# SPEAKERS.

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**DR. ACHIM VON  
LEOPRECHTING**

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CEO



**TANIA MICKI**

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CFO



# AGENDA.

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**1** FINANCIAL  
AND OPERATING  
HIGHLIGHTS

2 FINANCIAL  
RESULTS

3 KEY PRODUCT  
LAUNCHES AND  
OUTLOOK 2024

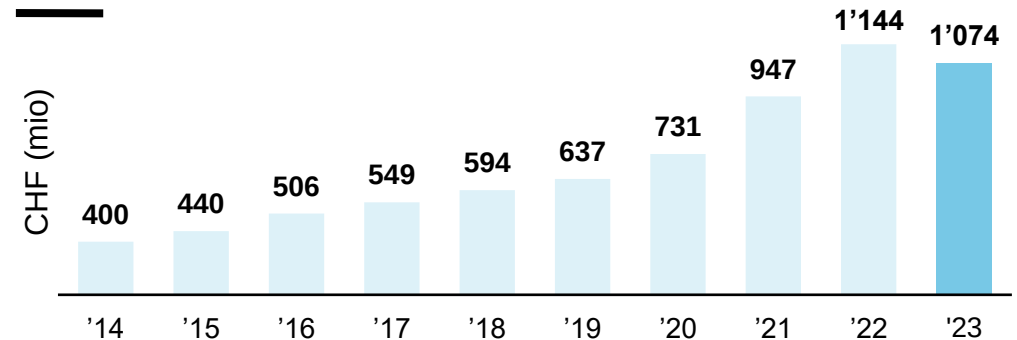
4 QUESTIONS  
AND  
ANSWERS

# FINANCIAL HIGHLIGHTS 2023.

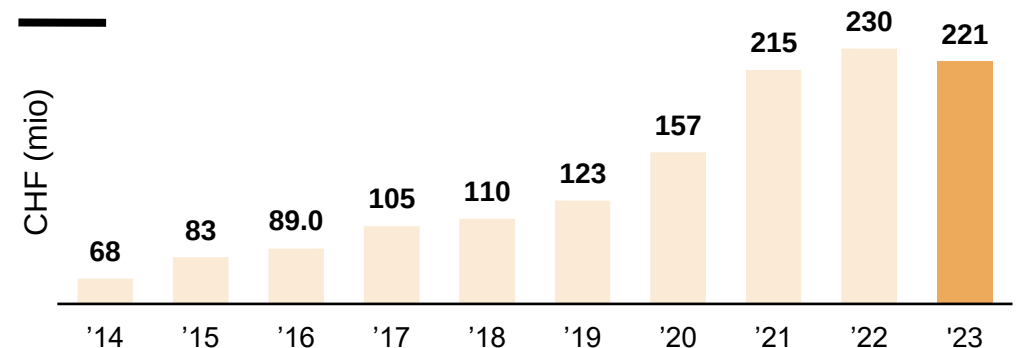
## SOLID UNDERLYING SALES GROWTH AND AN INCREASE IN PROFITABILITY AND NET PROFIT

- › Sales of CHF **1,074.4** million (-1.3% in LC)
- › Underlying growth of **+6.3%** in local currencies, excluding effects from lower COVID-related revenues and reduced material cost pass-through
- › H2 reported sales growth of **+1.0%** and **+5.5%** underlying in LC
- › Adjusted EBITDA of CHF **220.6** million
- › Adjusted EBITDA margin increased to **20.5%**
- › Adjusted net profit increased by **+6.5%** to CHF **164.4** million
- › Adjusted earnings per share of CHF **12.88** (+6.1%)
- › Operating cash flow increased by **+25.2%** to CHF **160.6** million

### SALES DEVELOPMENT



### EBITDA DEVELOPMENT



Reconciliation of adjusted consolidated statement of profit or loss can be found on slide 28

Adjusted EBITDA for 2020-2023

# OPERATING HIGHLIGHTS 2023.

## SUBSTANTIAL PROGRESS IN STRATEGY IMPLEMENTATION.

### NEW PRODUCT LAUNCHES AND PARTNERSHIPS

- › Expansion of core offering in laboratory automation in key growth markets
- › Significant advance in liquid biopsy workflows with the introduction of the innovative Phase Separator™
- › Successful launch of Uno Single-Cell Dispenser for isolating single cells
- › New pipetting arm MCA 96 met with high demand across all key applications of genomics, proteomics and cellomics
- › New additions to proteomics automation portfolio in the Resolvex line
- › Several new partnerships and product launches in Partnering Business

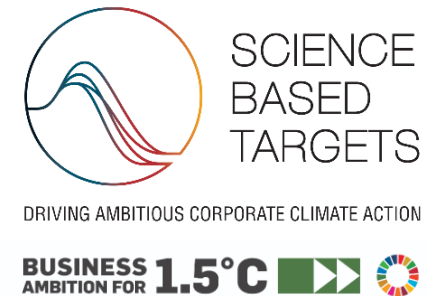
### SCALING OF GLOBAL MANUFACTURING

- › Series production of Cavo components successfully established in facilities at Morgan Hill, California, and Penang, Malaysia
- › New assembly facility opened in the Shanghai Free-Trade Zone



### SUSTAINABILITY

- › Great Place to Work™ certification in Switzerland, Germany and the U.S.
- › Tecan's greenhouse gas emissions reduction targets validated by Science Based Targets initiative



# AGENDA.

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1 FINANCIAL  
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HIGHLIGHTS

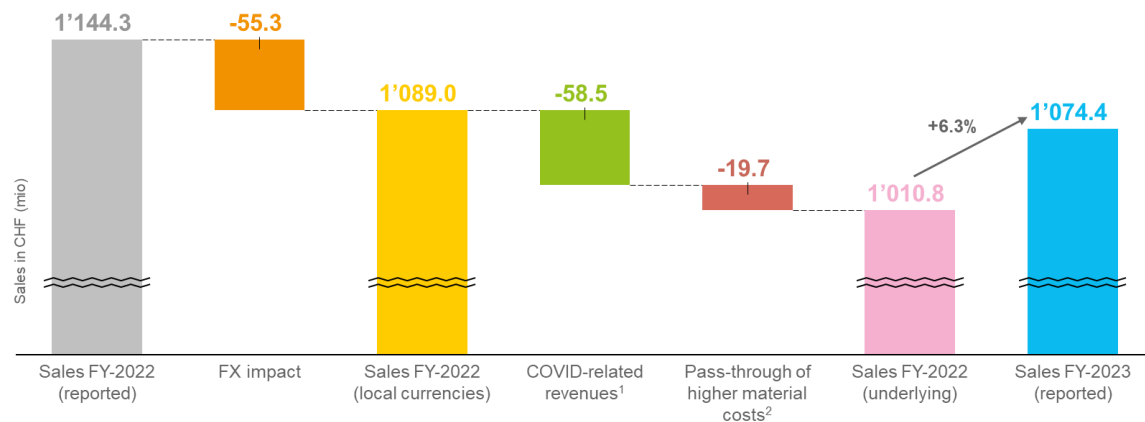
2 FINANCIAL  
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# 2023 ORDER ENTRY AND SALES PERFORMANCE.

## REPORTED AND UNDERLYING SALES



<sup>1</sup> Based on estimated COVID-related sales of around CHF 60m in FY-2022 or CHF 58.5m in local currencies

<sup>2</sup> Based on reduced pass-through revenues of CHF 8.1m in FY-23 and CHF 27.8m in FY-22, both figures in LC

## ORDER ENTRY FY 2023

- › -9.3% in CHF and -4.6% in LC
- › Solid inflow of new orders, book-to-bill ratio of 0.96
- › H2 2023: -1.9% in LC

## SALES FY 2023 VS. FY 2022

- › Reported sales -6.1% in CHF, -1.3% in LC
- › Underlying sales +6.3% in LC

## SALES H2 2023 VS. H2 2022

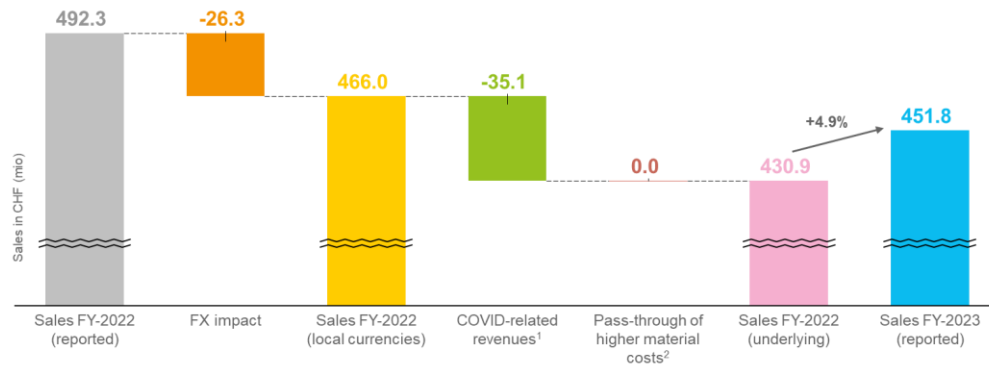
- › Reported sales +1.0% in LC (-4.9% in CHF)
- › Underlying sales +5.5% in LC





# 2023 SEGMENT SALES.

## LIFE SCIENCES BUSINESS



## LIFE SCIENCES BUSINESS

**FY** › Reported sales -8.2% in CHF, -3.0% in LC

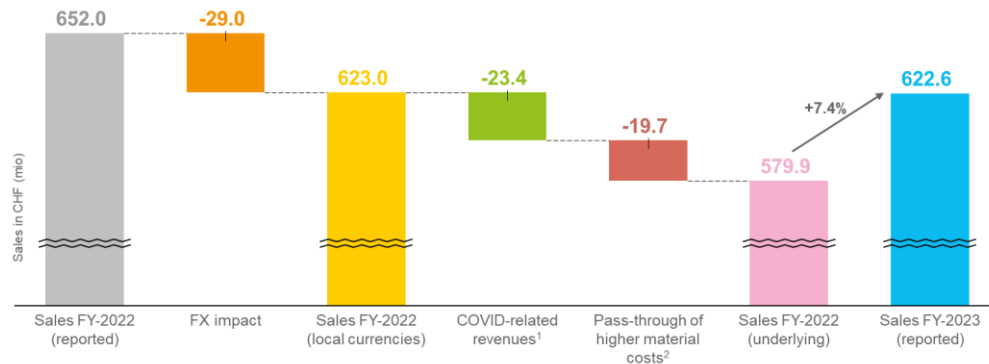
- › Underlying sales +4.9% in LC
- › Share of recurring revenues increased to 52.8% of segment sales
- › Book-to-bill ratio normalized to a value close to 1

**H2** › Reported sales +1.6% in LC

- › Underlying sales +4.4% in LC

## PARTNERING BUSINESS

## PARTNERING BUSINESS



**FY** › Reported sales -4.5% in CHF, -0.1% in LC

- › Underlying sales +7.4% in LC
- › Increase in underlying sales primarily due to double-digit growth in the Paramit product line, which also benefited from pent-up demand
- › By contrast, sales of Cavro<sup>®</sup> OEM components declined substantially
- › Sales of Synergence<sup>™</sup> product line nearly unchanged
- › Book-to-bill ratio came close to 1

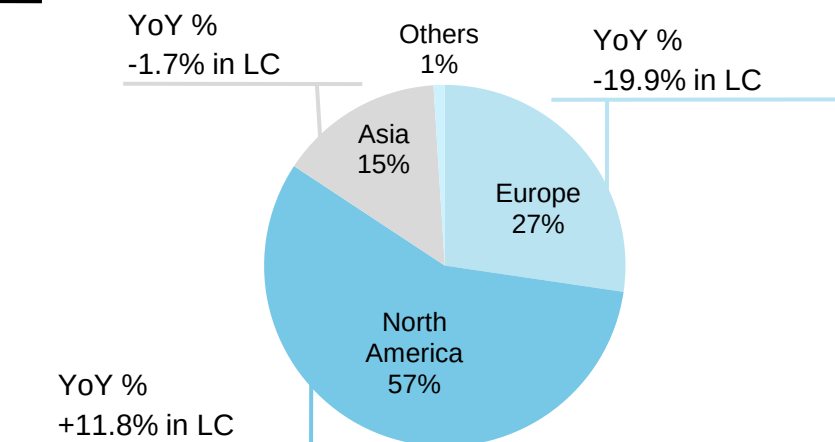
**H2** › Reported sales +0.6% in LC

- › Underlying sales +6.3% in LC

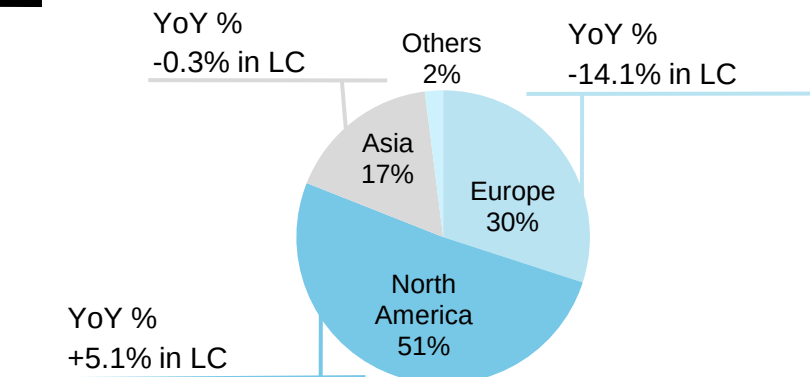


# FY 2023 REGIONAL SALES DEVELOPMENT.

## TECAN GROUP



## LIFE SCIENCES BUSINESS



## LIFE SCIENCES BUSINESS

### NORTH AMERICA

**FY** › +5.1% in LC; despite high COVID-related high comparison base and more cautious spending behavior

**H2** › +13.1% in LC

### EUROPE

**FY** › - 14.1% in LC; still affected by a COVID-related high comparison base

**H2** › -7.7% in LC

### ASIA

**FY** › - 0.3% in LC; development of sales very different in the two half-year periods, with H1 also benefitting from stimulus program in China

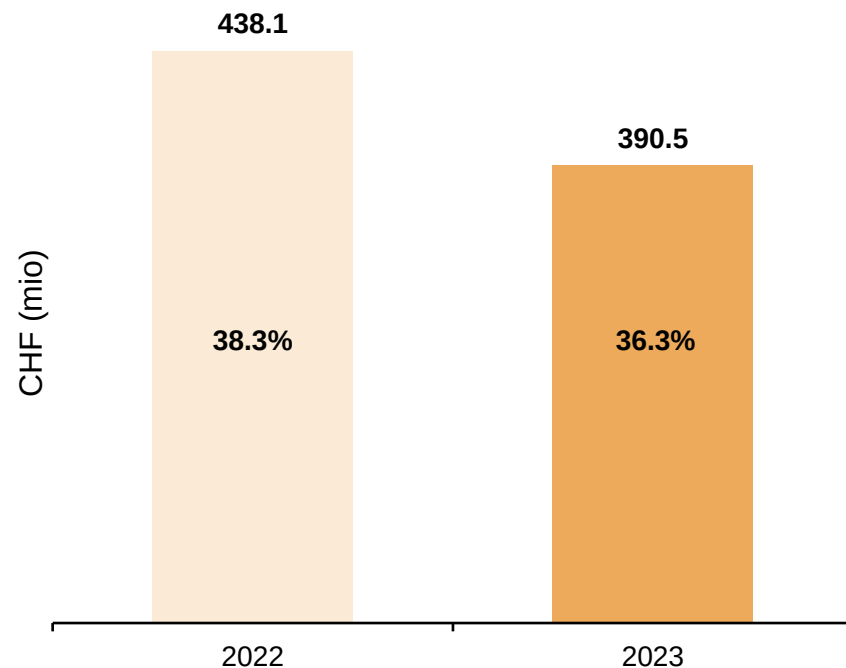
**H2** › -9.8% in LC, mainly due to market weakness in China

## PARTNERING BUSINESS

› The regional sales development for the Partnering Business segment is based on the delivery address of the OEM customers, not on the location of the actual end customers, and is therefore less meaningful

# FY 2023 GROSS PROFIT.

## GROSS PROFIT (% = % OF SALES)



## GROSS PROFIT REACHED CHF 390.5M

- › CHF 47.6m or 10.9% below 2022

## GROSS PROFIT MARGIN DOWN BY 200 BPS

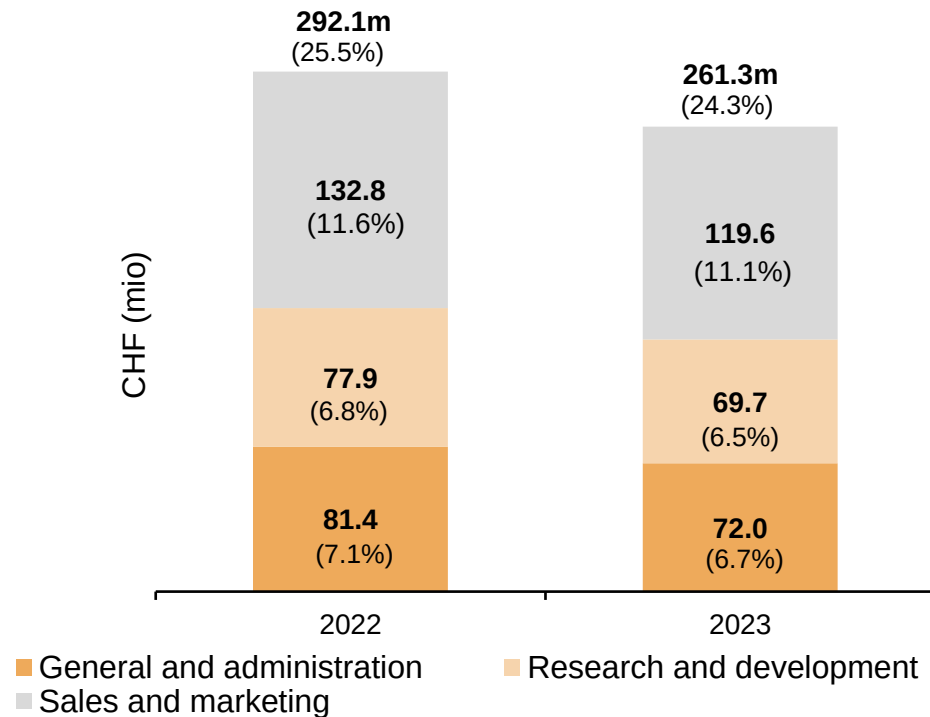
- › Reported gross profit margin at 36.3%

### Main effects explaining difference of 200 bps:

- › (-) Lower sales volumes
- › (-) Product mix
- › (-) Increased depreciation of consumable production lines
- › (-) Acquisition-related costs
- › (+) Price increases
- › (+) Efficiency and cost improvements
- › (+) Lower sales from passing on higher material costs without a margin

# FY 2023 COST STRUCTURE.

## OPERATING EXPENSES (% = % OF SALES)

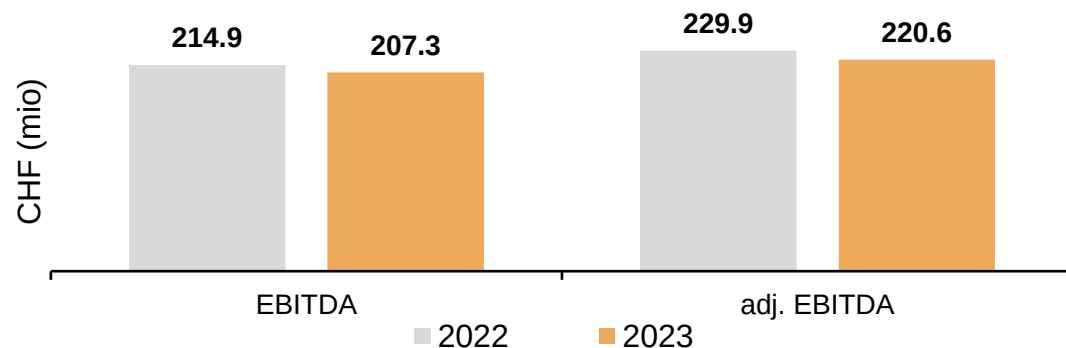


## OPERATING EXPENSES LESS COST OF SALES

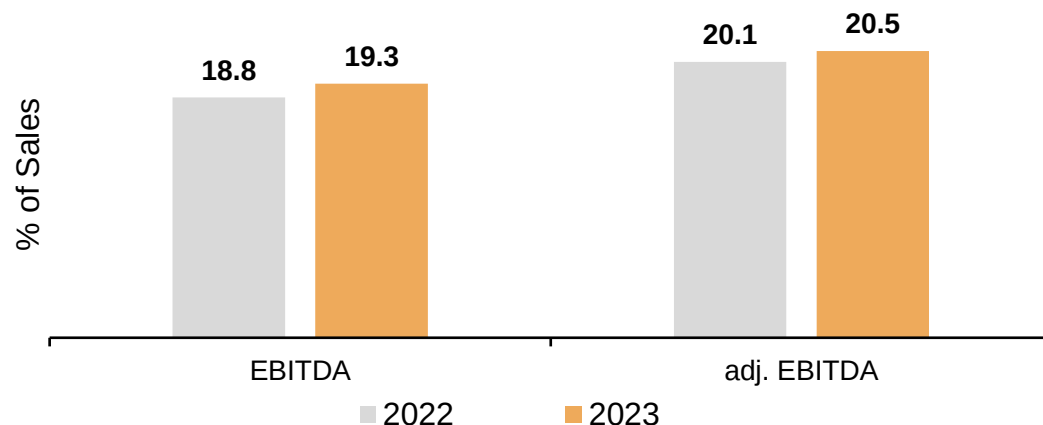
- › Operating expenses fell by 10.5%  
(cost control, lower revenue-based compensation and freight costs, FX)
- › OPEX down by 120 bps to 24.3% of sales
- › Sales & Marketing decreased by 10.0% and by 50 bps as % of sales
- › R&D developed roughly in line with sales
  - › Total gross R&D, including customer-funded OEM projects at CHF 89.6m; increased to 8.3% of total sales with higher customer funding for new OEM development programs
  - › Amortization > capitalized R&D ( $\Delta$  CHF 4.4m)
- › G&A expenses decreased by 11.5% and by 40 bps as % of sales

# FY 2023 EBITDA.

## EBITDA



## EBITDA MARGIN (% = % OF SALES)



## ADJUSTED EBITDA\* REACHED CHF 220.6M

› CHF 9.3m or 4.1% below 2022

## ADJUSTED EBITDA MARGIN

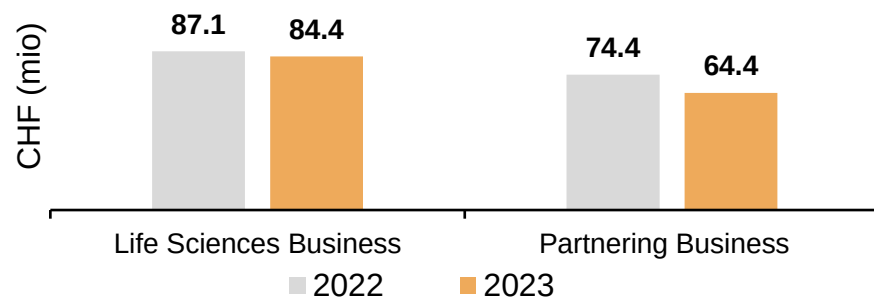
- › Adjusted EBITDA margin increased 40 bps to 20.5% (H2: 22.4%)
- › Main effects contributing to margin development:
  - › (-) Lower sales volumes, resulting in negative economies of scale
  - › (-) Gross profit margin
  - › (-) Exchange rates
  - › (+) Effective cost control and efficiency gains

\* Reconciliation of non-GAAP EBITDA to non-GAAP adjusted EBITDA on slide 28

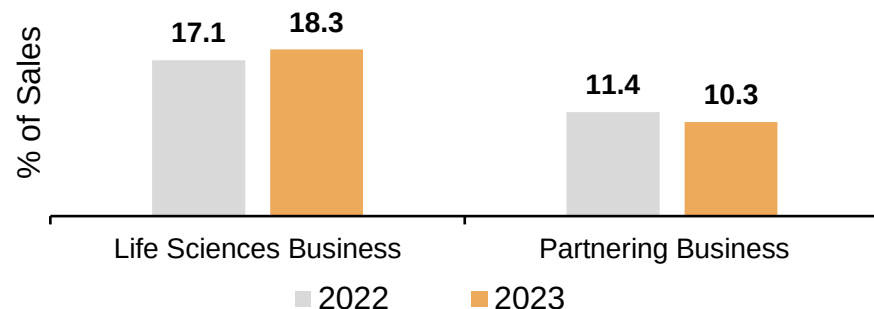


# FY 2023 SEGMENT PROFITABILITY.

## REPORTED EBIT (IN CHF MILLIONS)



## REPORTED EBIT MARGIN (% = % OF SALES)



## LIFE SCIENCES BUSINESS

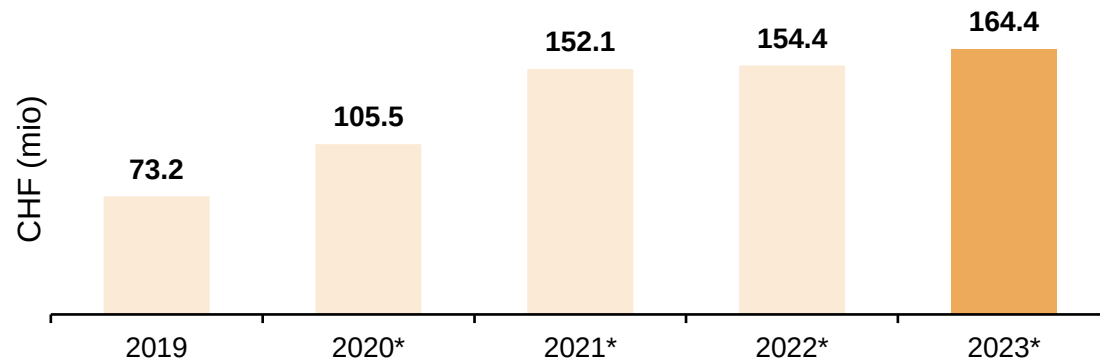
- › Reported EBIT margin amounted to 18.3% of sales
- › Factors contributing include:
  - › (-) Lower sales volumes
  - › (-) Exchange rates
  - › (+) Price increases, higher gross profit margin
  - › (+) Cost control

## PARTNERING BUSINESS

- › Reported EBIT margin at 10.3% of sales  
(including integration costs and amortization of acquired intangible assets from 2021 acquisition)
- › Factors contributing include:
  - › (-) Lower sales volumes
  - › (-) Product mix
  - › (-) Exchange rates
  - › (+) Price increases
  - › (+) Cost control

# FY 2023 NET PROFIT.

## ADJUSTED NET PROFIT



### ADJUSTED NET PROFIT\*

› CHF 10.0m or 6.5% above 2022

#### Main factors contributing:

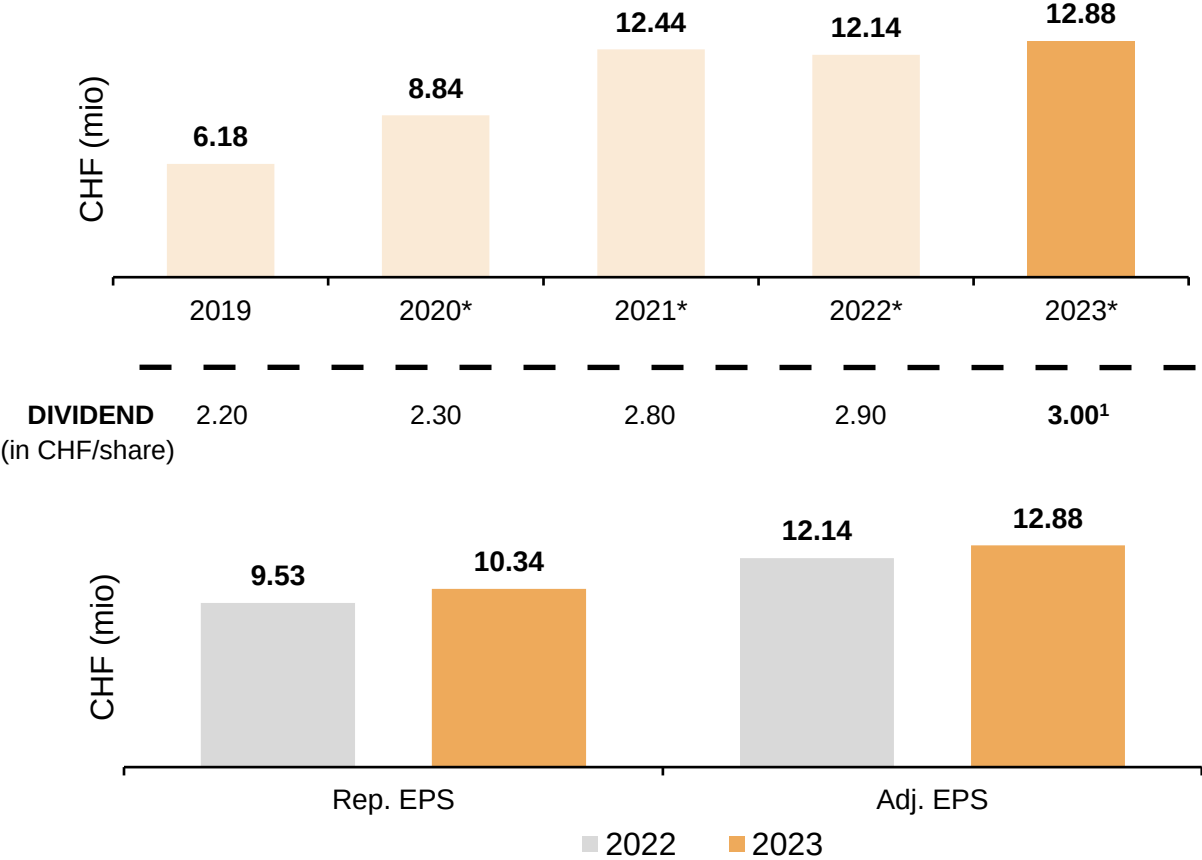
- › (-) Adjusted EBIT
- › (+) Financial result
- › (+) Tax rate decreased to 1.3%, supported by a one-time positive effect in connection with transitional measures from the Swiss tax reform (2022: 15.0%)

\* Adjustments for the calculation of adjusted earnings per share can be found on slide 28



# FY 2023 EARNINGS PER SHARE.

## EARNINGS PER SHARE



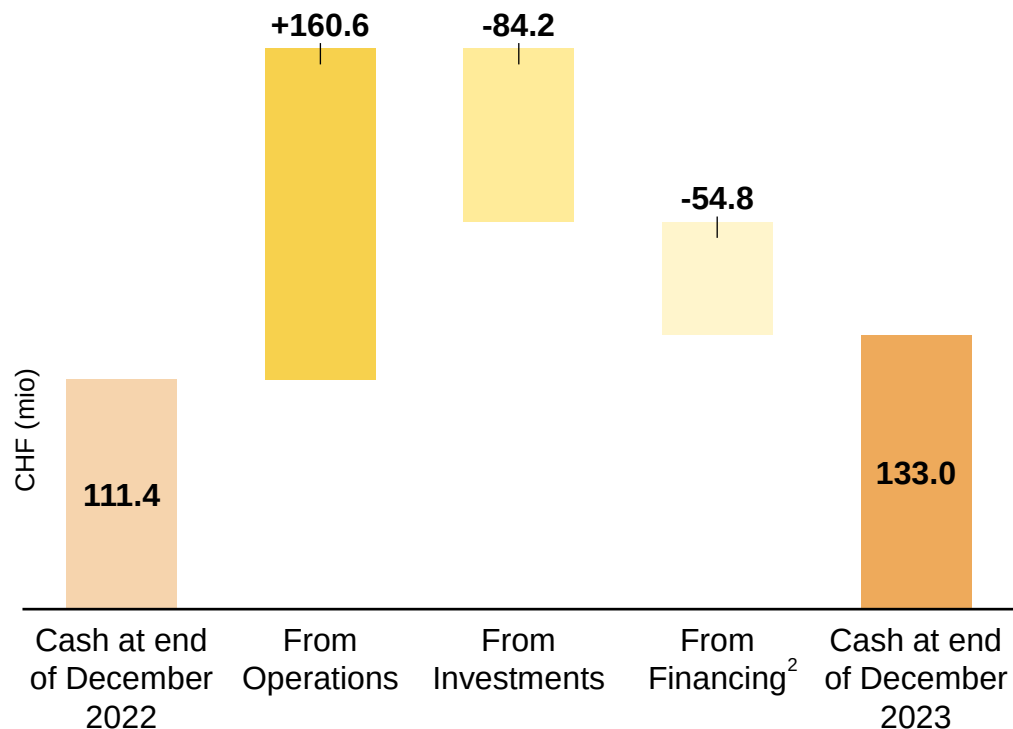
## ADJUSTED EARNINGS PER SHARE

- › Adjusted EPS grew by 6.1%
- › Average number of shares outstanding: 12.8m (2022: 12.7m)
- › Increase in the dividend proposed from CHF 2.90 to CHF 3.0 per share
- › Half of the dividend will be paid out from the available capital contribution reserve and is therefore not subject to withholding tax

<sup>1</sup> To be proposed to the shareholders at the Company's Annual General Meeting on April 18, 2024  
\* Adjustments for the calculation of adjusted earnings per share can be found on slide 28



# 2023 CASH FLOW.



<sup>1</sup> Net Liquidity / Net Debt = cash and cash equivalents plus short-term time deposits minus short- and long-term debts

<sup>2</sup> Includes translation differences of CHF 4.2m

## CASH FLOW FROM OPERATIONS OF CHF 160.6M (2022: CHF 128.3M)

- › Cash conversion of 14.9% of sales (2022: 11.2%)
- › Decreased inventories and lower accruals and provisions
- › Days Sales Outstanding (DSO) at 45 days (2022: 49 days)
- › Includes CHF 71.3m for amortization & depreciation (2022: CHF 67.1m), thereof CHF 14.2m from IFRS 16, CHF 19.5m for PPA and CHF 10.4m from previously capitalized development costs (2022: CHF 10.4m)

## INVESTMENTS OF CHF 84.2M (2022: CHF 88.2M), INCLUDING

- › CHF -12.3m newly capitalized development costs (2022: CHF -11.6m)
- › CHF -22.5m PPE/other intangibles (2022: CHF -24.6m)
- › CHF +0.0m Government grants (2022: CHF +8.0m)
- › CHF -50.0m increase in time deposits (2022: CHF -60.0m)

## CASH FLOW FROM FINANCING ACTIVITIES INCLUDES

- › CHF -37.0m dividend payments (2022: -35.6m)
- › CHF -13.9m lease liabilities (2022: -13.8m)

## Net liquidity<sup>1</sup> position at CHF 112.6M

(Dec. 31, 2022: 41.2M, June 30, 2023: CHF 61.7M)



# AGENDA.

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1 FINANCIAL  
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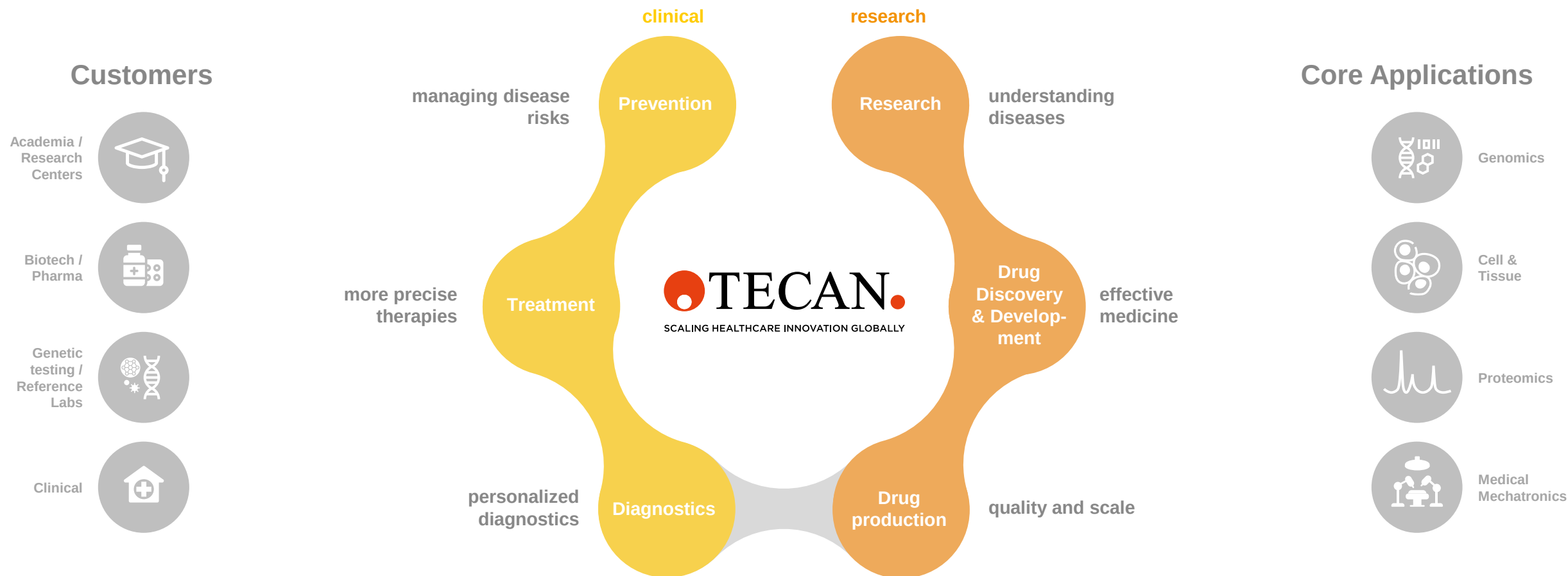
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# IN THE CENTER OF DYNAMIC HEALTHCARE ECOSYSTEMS.

TECAN EMPOWERS CUSTOMERS, FROM RESEARCH TO THE CLINIC.



# SCALING LIQUID BIOPSY WORKFLOWS.

CONTINUOUS INNOVATION THROUGH NEW MODULES AND TECHNOLOGIES.

Academia /  
Research  
Centers



Biotech /  
Pharma



Genetic  
testing /  
Reference  
Labs



Clinical



- › A new way of separating biological samples, including whole blood
- › With key applications in liquid biopsy, NIPT and biobanking, Phase Separator™ will impact multiple disease areas, including oncology, neurology and metabolic disorders
- › Broad applications beyond NGS, also for downstream multi-omics analysis
- › Further expands the “toolbox” to support customers in both business segments

Life Science Business



Separating biological samples faster, more accurately and efficient even from fully labeled tubes

Partnering Business



Genomics



Cell &  
Tissue



Proteomics



Medical  
Mechatronics

# STREAMLINING GENOMICS AND PROTEOMICS WORKFLOWS.

NEW APPLICATION-ORIENTED MODULE FOR THE FLUENT® AND OEM PLATFORMS.

Academia /  
Research  
Centers



Biotech /  
Pharma



Genetic  
testing /  
Reference  
Labs



Clinical



- › Upcoming launch of Resolvex® i300 and the accompanying antibody purification columns
- › Fully integrated module enables the automation of every step of the sample purification process
- › Delivers new levels of efficiency and precision to proteomics and genomics workflows
- › Broad applications including biomarker discovery, drug development and personalized medicine
- › First Partnering Business program in advanced development

Life Science Business



Integrated on the Fluent, covering sample preparation, cleanup, evaporation and resuspension, using positive pressure

Partnering Business



Genomics



Cell &  
Tissue



Proteomics



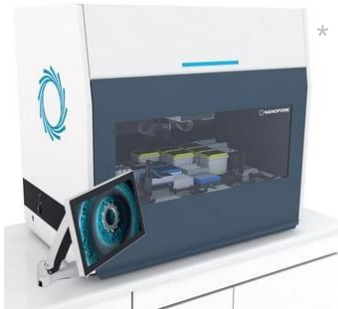
Medical  
Mechatronics

# NEW PARTNERSHIPS AND PRODUCT LAUNCHES.

THREE SYNERGISTIC OEM OFFERINGS FOR LIFE SCIENCE,  
DIAGNOSTICS AND MEDICAL COMPANIES.

## Synergence™

Customized OEM systems



- › Development activities picked up in 2023 with increased customer funding
- › Rich project pipeline for new developments
- › New systems are based on common and modular hard- and software platforms
- › Further production ramp up of past launches plus new introductions in 2024

## Cavro®

Standard and customized OEM components



- › Series production successfully transferred to Morgan Hill (US) and Penang (MY)
- › Healthy project pipeline for new robotic platforms and fluidic components
- › New products for fluidic pathways drive penetration of new market segments
- › Active commercialization of vertically integrated precision machining capabilities

## Paramit®

Contract development and manufacturing



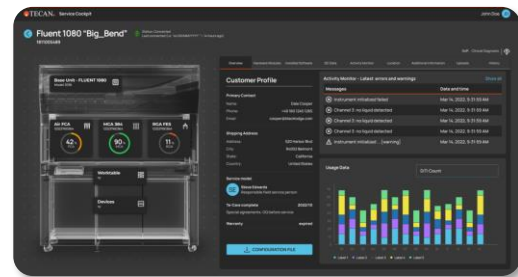
- › Expanded commercial channels, specifically for medical OEM opportunities
- › Leveraging broad synergies between all three OEM offerings
- › Increased focus on “development for manufacturing”, utilizing existing engineering capabilities in key medical applications
- › Several product launches expected in 2024

\*Example: visualisation of the Oxford Nanopore TurBOT (concept)

# ESTABLISHING THE LEADING OPEN DIGITAL ECOSYSTEM.

## KEY 2024 LAUNCHES TO BOOST LAB PERSONNEL AND EQUIPMENT EFFECTIVENESS.

### Modular Software Architecture



#### Next-Gen Introspect

Service

- › Increase uptime & reduce costs with remote diagnostics and service support



#### Next-Gen Introspect

Fleet Management



- › Improve fleet productivity through actionable insights



User Interface



#### Lab Navigator

Lab Orchestration



- › Increase lab personnel productivity & reduce errors



# TECAN IS SCALING HEALTHCARE INNOVATION GLOBALLY.

## SERVING ATTRACTIVE END MARKETS WITH STRONG MARKET POSITION.

- › Trusted partner for life sciences, drug development, clinical diagnostics and the medical device industry
- › Covering a full spectrum of solutions from accelerating the discovery of novel medications to personalized diagnosis, treatment and prevention of diseases
- › Exposure to three attractive end markets, life science research, diagnostics and medical, offers specific opportunities to benefit from overall growth trends
- › Strong competitive position in high growth application segments which benefit from several trends like digitalization and precision medicine
- › Bridging technologies from research to clinical settings for better management of cancer, metabolic disorders, infectious diseases and other critical illnesses





# FINANCIAL OUTLOOK.

## INITIATING SHORT-TERM OUTLOOK AND GUIDANCE FOR THE FULL YEAR 2024.

### SALES OUTLOOK

|                          |                                                               |
|--------------------------|---------------------------------------------------------------|
| Total sales growth in LC | Expected to increase in the low single-digit percentage range |
|--------------------------|---------------------------------------------------------------|

### ADJUSTED EBITDA MARGIN OUTLOOK

|                                        |                                 |
|----------------------------------------|---------------------------------|
| Adjusted EBITDA margin <sup>1, 2</sup> | At least at around 20% of sales |
|----------------------------------------|---------------------------------|

## ASSUMPTIONS FOR OUTLOOK 2024

### SALES

- ➡ Demand in diverse end markets expected to remain solid, however customer spending assumed to remain conservative throughout 2024 (especially in H1) and demand in the medical OEM business expected to normalize after two years of double-digit growth
- ➡ 2023 product introductions continuing to gain traction, new key launches in 2024
- ⬇ No further sales from the pass-through of material costs assumed in this outlook (CHF 8.1 million in 2023)
- ⬇ Continued market weakness in China (with high comparison base in H1)

### ADJUSTED EBITDA MARGIN

- ➡ Underlying profitability improvements and efficiency gains
- ➡ Reduced sales from the pass-through of material costs
- ⬇ Impact from foreign exchange rates versus the Swiss franc
- ⬇ Less acquisition-related costs (in the high single-digit millions)

<sup>1</sup> Based on average FX rates of: 0.95 EUR/CHF and 0.85 USD/CHF; <sup>2</sup> Adjustments for the calculation of non-GAAP EBITDA to non-GAAP adjusted EBITDA on slide 28



# FINANCIAL OUTLOOK.

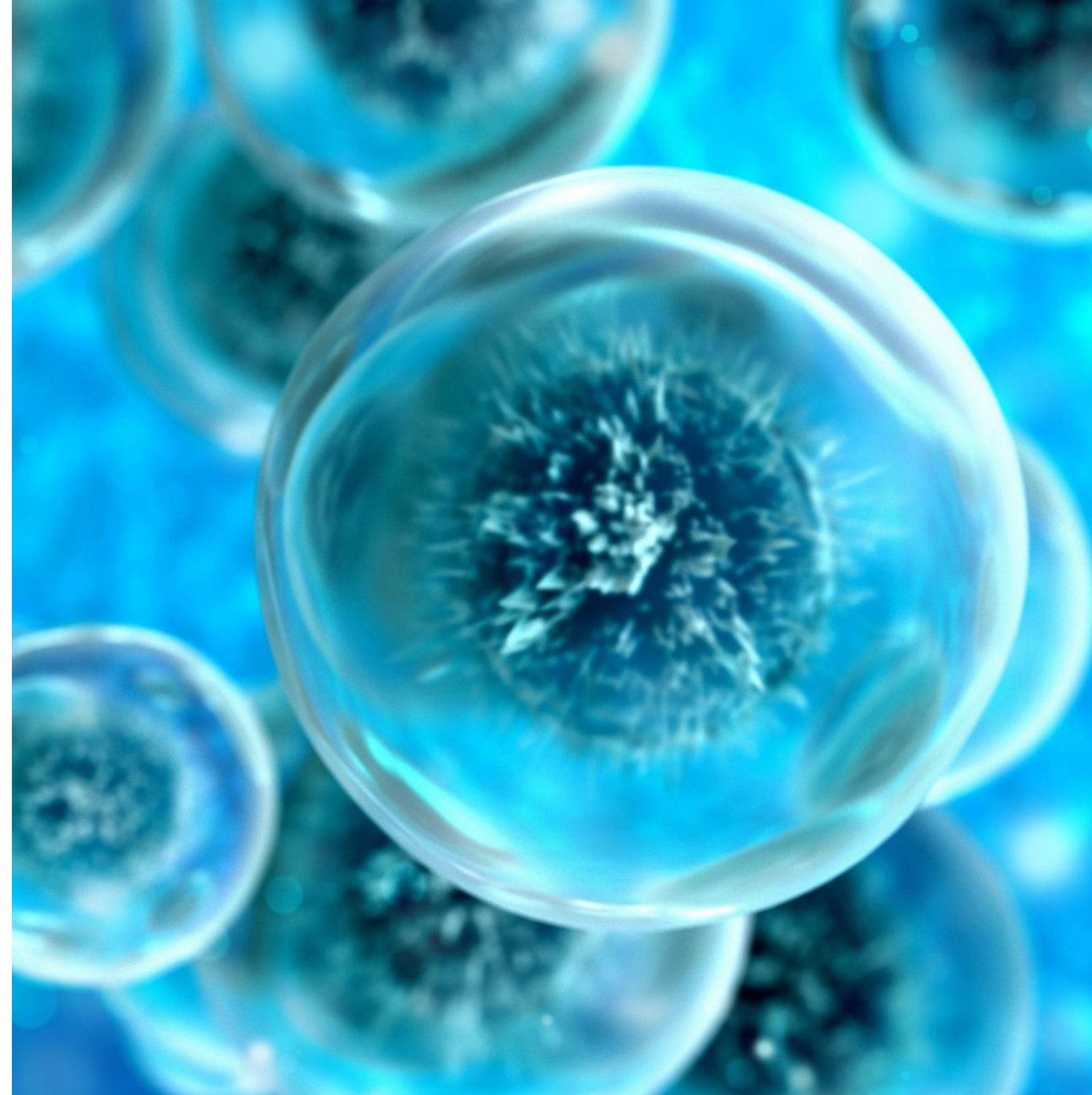
## REITERATING MID-TERM OUTLOOK.

### SALES OUTLOOK

- › Continue to outpace average growth rate of the underlying end markets
- › Return to average organic growth rates in the mid to high single-digit percentage range in local currencies
- › Strong financials supporting organic and inorganic strategic expansion in the Americas, Europe and Asia

### ADJUSTED EBITDA MARGIN OUTLOOK

- › Growing topline, while continuously improving profitability
- › Average annual increase in the adjusted EBITDA margin of +30-50 basis points



SAVE THE DATE:  
**CAPITAL MARKETS  
DAY.**

22 OCTOBER 2024



# AGENDA.

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# APPENDIX.

## RECONCILIATION OF ADJUSTED CONSOLIDATED STATEMENT OF PROFIT OR LOSS.

Adjusted net profit and adjusted earnings per share were calculated with the reported Group tax rate of 1.3% for 2023 (2022: 15.0%)

|                                                         | 2022             | 2023             |
|---------------------------------------------------------|------------------|------------------|
| CHF 1,000 / unaudited                                   |                  |                  |
| <b>Sales</b>                                            | <b>1,144,261</b> | <b>1,074,386</b> |
| <b>GAAP operating profit (EBIT)</b>                     | <b>147,835</b>   | <b>135,967</b>   |
| Depreciation and amortization                           | 67,054           | 71,330           |
| <b>Non-GAAP EBITDA</b>                                  | <b>214,889</b>   | <b>207,297</b>   |
| In % of sales                                           | 18.8%            | 19.3%            |
| Adjustments for                                         |                  |                  |
| Acquisition and integration costs                       | 13,559           | 17,654           |
| Swiss pension plans: past service costs                 | 1,497            | (4,358)          |
| <b>Non-GAAP adjusted EBITDA</b>                         | <b>229,945</b>   | <b>220,593</b>   |
| In % of sales                                           | 20.1%            | 20.5%            |
| Depreciation and amortization                           | (66,407)         | (71,330)         |
| Adjustment for acquisition-related amortization         | 23,473           | 19,513           |
| <b>Non-GAAP adjusted EBIT</b>                           | <b>187,011</b>   | <b>168,776</b>   |
| In % of sales                                           | 16.3%            | 15.7%            |
| Financial result                                        | (5,350)          | (2,162)          |
| <b>Non-GAAP adjusted profit before taxes</b>            | <b>181,661</b>   | <b>166,614</b>   |
| In % of sales                                           | 15.9%            | 15.5%            |
| Adjusted income taxes                                   | (27,232)         | (2,166)          |
| <b>Non-GAAP adjusted net profit</b>                     | <b>154,429</b>   | <b>164,448</b>   |
| In % of sales                                           | 13.5%            | 15.3%            |
| <b>Non-GAAP adjusted basic earnings per share (CHF)</b> | <b>12.14</b>     | <b>12.88</b>     |

# CONTACT & EVENTS.

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## CONTACT

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## NEXT EVENTS

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**April 18** Annual Shareholder Meeting

**August 13** Half year results 2024





**SCALING**  
**HEALTHCARE**  
**INNOVATION**  
**GLOBALLY.**

# THANK YOU.

## TECAN – WHO WE ARE

At Tecan we are driven to improve people’s lives and health. We do this by empowering our customers to scale healthcare innovation globally from life science to the clinic. Tecan is a pioneer and global leader in laboratory automation. As an original equipment manufacturer (OEM), Tecan is also a leader in developing and manufacturing OEM instruments, components and medical devices that are then distributed by partner companies. Founded in Switzerland in 1980, the company has more than 3,300 employees, with manufacturing, research and development sites in Europe, North America and Asia, and maintains a sales and service network in over 70 countries. Registered shares of Tecan Group are traded on the SIX Swiss Exchange (TECN; ISIN CH0012100191).

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